Impact of External Influences

Exam code: 9BS0

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Updated on 4 September 2025

Understanding PESTLE analysis

- PESTLE analysis examines the **external factors** that are likely to impact the **activities and outcomes** of a business
- PESTLE is an acronym for:
  - **P**olitical
  - **E**conomic
  - **S**ocial
  - **T**echnological
  - **L**egal
  - **E**nvironmental

- PESTLE analysis can **support effective decision-making** by senior managers who will better **understand the complex context** within which the business operates
- Managers can use the information gathered to **understand the potential threats** to the business's performance and **identify future difficulties** so that action can be taken to help **avoid and eliminate** their effects

PESTLE factors

External factor	Explanation	Examples
Political	• The extent to which **local and national government** is expected to influence the business, including: ○ Government stability and relationships with key trading partners ○ Tax regulations ○ Trade restrictions ○ Political ideology and attitudes to business	• The UK's decision to leave the EU 2016 has led the **reintroducti of trading restrictions** t businesses importing goods from suppliers in Europe • The reduced level of threa from terroris in the UK has

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	○ Investment in public services	
Economic	• The extent to which **economic indicators** are expected to directly impact business performance, including: ○ **Inflation** ○ Exchange rates ○ Cost of living ○ The stage of the **business cycle** and **GDP** growth ○ **Unemployment** levels	• High rates of fuel and fooc inflation in th UK have reduced the level of **disposable income** for most households • A historically low unemployme level has mac recruitment more challenging f UK businesse
Social	• The extent to which **personal attitudes and values, culture, and demographic change** are expected to affect the business, including: ○ **Social mobility** ○ Education ○ Ethics and religion ○ **Migration** ○ Health profile ○ Population growth and demographic structure	• Greater numbers of people graduating from universi have increas the quality of workers available to l businesses • A more healt conscious population provides a lucrative market for businesses selling fitnes and lifestyle products
Technological	• The extent to which **technological change and innovation** are expected to impact the business, including: ○ Research and development ○ Production and distribution processes and efficiency ○ Quality and new materials	• Developmer in communicat technology have reduce the need for business trav • Rapid developmen in technolog have reduce the length of product life cycles and increased th need for

	presence ○ The technology used in communication	research, developmen and innovati
Legal	• The extent to which **changes in law and regulations** are expected to impact the business, including: ○ Taxation ○ Employment ○ Advertising ○ Health and safety ○ Compliance and "red tape" created by regulatory bodies, such as the **Health and Safety Executive**	• Changes to t level of tax levied on hig sugar produ (sodas) in the UK increase selling prices and prompte some businesses t **redevelop th products** to reduce their sugar conter • A rise in the level of the minimum wa increases businesses' staffing cost
Environmental	• The extent to which changes in **attitudes and government policy** towards environmental protection, as well as **the impact of global warming**, are expected to impact the business, including: ○ Changing infrastructure — for example, in favour of green transportation networks ○ **Energy availability** and cost ○ Disposal of materials ○ Changes in climate and weather patterns ○ Air quality	• Increased interest in environment responsible and ethically produced goods has created new markets for businesses t exploit • Strict rules o the disposal commercial waste have increased costs for businesses

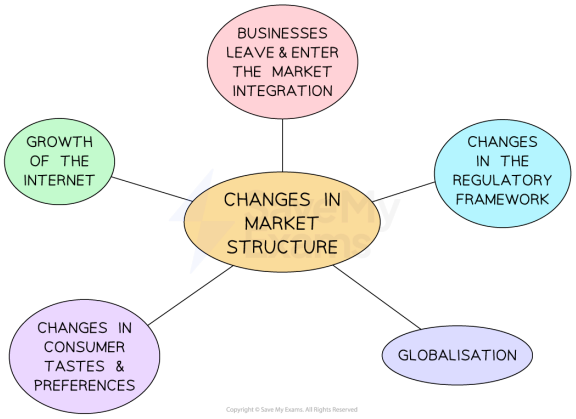
Help me understand

impact on business activity rather than its origin. The cause is not so important, but the impact of the factor is what needs to be considered.

The changing competitive environment

- The **structure** of the market in which a business operates is likely to **change over time**
- Businesses have to respond to this **changing competitive environment**

Reasons for changes in market structure



Reasons for changes in the structure of markets over time include globalisation, growth of the internet and changes in consumer tastes

- **New businesses may enter the market**, and **existing businesses may leave** or **integrate** with others
  - For example, until the early 2000s, UK supermarkets were dominated by a small number of giants, including Tesco, Sainsbury's and Asda
  - The entry of businesses such as Aldi and Lidl has made the market more competitive, while takeovers involving leading brands, such as that of Somerfield by Morrisons in 2004, have had the opposite effect
- The **legislation (laws) may change**, likely leading to fewer **barriers to entry** for new businesses
  - For example, until the 1980s, only local councils were permitted to operate local bus services in the UK, and following deregulation, any business with the financial resources to enter the market could run a bus service
- The **growth of the internet** has increased the number of competitors businesses face in the majority of markets
  - For example, UK booksellers have faced severe price competition largely from the online giant Amazon
    - Many smaller independent retailers have **closed down**, as they have been unable to compete

- Consumer **tastes and preferences** are **changing more rapidly**, leading to short **product life cycles** and a requirement for businesses to **innovate** to compete
  - For example, the growth in **fast fashion** has meant that many clothing retailers must now constantly update their product ranges rather than rely on seasonally focused product selections
  - Businesses such as Primark and Zara have been particularly successful in meeting customer demand for fast fashion, giving customers the chance to buy the latest fashions in as little as 13 days
- **Globalisation** has increased **competition with rivals from around the world**
  - **For example, between 1970 and 2010, trade barriers around the world were reduced, and customers were able to buy an increasing number of motor vehicle brands**
    - By 2015, more than half of all cars sold in the UK were manufactured by Japanese companies

Porter's Five Forces

- Porter's Five Forces identify the **key pressures** on an industry that impact the **ability of a business to compete with rivals**

The Five Forces model

The Porter's Five Forces model identifies industry rivalry, supplier power, buyer power, threat of a new entrants and threat of substitution as key competitive pressures in a market

- Porter argued that once a business **fully understands these pressures in context**, it can **take strategic decisions** to achieve and sustain a **competitive advantage**
- This will then increase the business's chances of success

Industry rivalry	• When there are **many competitors selling similar products**, the business will have little power
	  ○ Many rivals are trying to get a more significant share of the market
	  ○ Customers have a lot of choices and can shop around
	• When a business offers products in an **industry with little or no competition**, it has more power, can use **premium pricing** and dominates the market
		• The UK energy market has experienced a significant reduction in the number of rival firms in recent years as a result of numerous takeovers
		• Remaining energy suppliers have been able to charge high prices and make incredible levels of profit

Threat of new entrants	• If **new competitors can enter** an industry quickly and without investing a lot of money, then the **barriers to entry** are low, and the **threat of new entrants is high**
	  ○ The market is likely to contain a large number of rival businesses
	  ○ Individual businesses are likely to have little power
	• Where the barriers to entry are too high for new businesses to gain a foothold
		• As a result of deregulation in the 1980s, UK consumers can access an increasingly wide selection of television channels, many of which can operate at very low cost online
		• While a small number of powerful firms, such as the BBC, Netflix and Sky, dominate, it is relatively easy for new niche channels to enter the market

	entrants is low	

Buyer power	• When a business sells to a **small number of customers**, those customers have **significant power to negotiate lower prices**
	  ○ The business has few options when it comes to customers
	  ○ It will have to price and sell products according to customer demands
	• Where a business has a **high number of customers**, those **customers have less power**
	  ○ It is likely to be able to charge a high price for a product that is relatively inexpensive to produce
		• Boeing is an aerospace company that sells aeroplanes to airlines and governments
		• Airlines that purchase large numbers of planes from Boeing have **significant buyer power** due to their ability to negotiate lower prices and favourable contract terms

Supplier power	• Where a business has a **lot of choices** over the suppliers from which it buys components: ○ It is likely to be able to shop around for lower prices • Where a supplier has significant power over a business as a result of **offering specialised components**, or where there is a **small number of suppliers** in the market:	• Large UK supermarkets wield significant power over small, local suppliers • However, in 2022, the giant food manufacturer Heinz refused to supply Tesco with any product unless it increased its payments by 51%, which Tesco was forced to do

	the source of its suppliers ○ It is likely to have to pay high prices for its components and accept suppliers' terms and conditions	
Threat of substitution	• Where customers can **easily swap a business's products for those of a rival**, the business has little power ○ The business is likely to have to compete on price or invest heavily in developing a unique selling proposition • Where **substitution is unlikely**, a business has significant market power: ○ It is likely to be able to charge a high price for its products and may be less inclined to innovate	• Smartphones have become the substitute for a wide range of stand-alone goods, including calculators, cameras and even portable computers • In the case of cameras, many manufacturers have moved away from selling low-priced devices and now focus on high-end, specialist products for serious photography enthusiasts

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